

Ref No:
Time: 90 min
Marks: 69

Student Info	
StudentID:	
Center:	
ExamDate:	08 Aug 2010

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Q No.	1	2	3	4	5	6	7	8	Total
Marks									
Q No.	9	10	11	12	13	14	15	16	
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Q No.	17	18	19	20	21	22	23	24	
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Q No.	33	34	35	36	37	38	39	40	
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Q No.	41	42	43	44	45	46	47	48	
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Q No.	49	50	51	52	53				
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Question No: 1 (Marks: 1) - Please choose one

Government authorities have managed to reduce the unemployment rate from 8% to 4% in a hypothetical economy. As a result:

- ▶ The economy's production possibilities curve will shift outward.
- ▶ The economy's production possibilities curve will become steeper.
- ▶ The economy will move downward along its production possibilities curve.
- ▶ **The economy will move from a point inside to a point closer to its production possibilities curve.**

Question No: 2 (Marks: 1) - Please choose one

Which of the following measures the percentage change in quantity demanded given a percentage change in consumer's income?

- ▶ Price elasticity of demand.
- ▶ **Income elasticity of demand.**
- ▶ Supply price elasticity.
- ▶ Cross price elasticity.

Question No: 3 (Marks: 1) - Please choose one

If the income elasticity of demand for boots is 0.2, a 10% increase in consumer's income will lead to a:

- ▶ 20 percent decrease in the quantity of boots demanded.
- ▶ **2 percent increase in the quantity of boots demanded.**
- ▶ 0.2 percent increase in the quantity of boots demanded.
- ▶ 20 percent increase in the quantity of boots demanded.

Question No: 4 (Marks: 1) - Please choose one

Increase in pension benefits leads to income and substitution effect which:

- ▶ Encourage workers to retire later.
- ▶ Encourage workers to work more hours.
- ▶ Have no effect on incentive to retire.
- ▶ **Encourage workers to retire earlier.**

Question No: 5 (Marks: 1) - Please choose one

Marginal profit is equal to:

- ▶ **Marginal revenue minus marginal cost.**
- ▶ Marginal revenue plus marginal cost.
- ▶ Marginal cost minus marginal revenue.
- ▶ Marginal revenue times marginal cost.

Question No: 6 (Marks: 1) - Please choose one

The good produced by a monopoly:

- ▶ Has perfect substitutes.
- ▶ Has no substitutes at all.
- ▶ **Has no close substitutes.**
- ▶ Can be easily duplicated.

Question No: 7 (Marks: 1) - Please choose one

If a firm experiences economies of scale, then the:

- ▶ Long-run average total cost curve is equal to the economies of scope.
- ▶ **Long-run average total cost curve is positively sloped.**
- ▶ Long-run average total cost curve is horizontal.
- ▶ Long-run average total cost curve is negatively sloped.

Question No: 8 (Marks: 1) - Please choose one

When the marginal revenue product of labor is greater than the marginal input cost of labor then the profit maximizing firm will:

- ▶ **Hire more labor.**
- ▶ Hire less labor.
- ▶ Maintain the same employment.
- ▶ Decrease output.

Question No: 9 (Marks: 1) - Please choose one

An increase in the wage rate:

- ▶ **Will usually lead to more people employed.**
- ▶ Will decrease total earnings if the demand for labour is wage elastic.
- ▶ Is illegal in a free market.
- ▶ Will cause a shift in the demand for labour.

Question No: 10 (Marks: 1) - Please choose one

Keynesian economics rejected the classical assumption that:

- ▶ **Supply creates its own demand.**
- ▶ Prices and wages are inflexible.
- ▶ Self-correction takes a long time.
- ▶ Consumption expenditures depend on disposable income.

Question No: 11 (Marks: 1) - Please choose one

A nation's balance of payments can be affected by changes in:

- ▶ Foreign income.
- ▶ The differential between domestic and foreign interest rates.

- ▶ **The real exchange rate.**
- ▶ All of the given options.

Question No: 12 (Marks: 1) - Please choose one

According to Keynesian economics, aggregate expenditures are the sum of desired or planned spending undertaken by:

- ▶ All four sectors only when the economy is at full employment.
- ▶ All four sectors at a specific aggregate production level.
- ▶ The household sector after taxes.
- ▶ **The business and government sectors.**

Question No: 13 (Marks: 1) - Please choose one

All of the following conditions lead to the successful operation of a cartel EXCEPT:

- ▶ Market demand for the good is relatively inelastic.
- ▶ The cartel supplies all of the world's output of the good.
- ▶ **Cartel members have substantial cost advantages over non-member producers.**
- ▶ The supply of non-cartel members is very price elastic.

Question No: 14 (Marks: 1) - Please choose one

If the total product of labor per day is as shown in the table below and the price of the product is \$20/unit. What is the value of the marginal product of labor (VMPL) of the 5th worker?

Labor	Total output
1	8
2	23
3	33
4	38
5	41

- ▶ 100.
- ▶ 10.
- ▶ 40.
- ▶ **60.**

Question No: 15 (Marks: 1) - Please choose one

All of the following are the reasons of downward sloping curve of aggregate demand EXCEPT:

- ▶ The exchange-rate effect.
- ▶ The wealth effect.
- ▶ **The classical dichotomy / monetary neutrality effects.**
- ▶ The interest-rate effect.

Question No: 16 (Marks: 1) - Please choose one

Why calculations of Gross Domestic Product (GDP) count only final goods and services?

▶ Because it is difficult to measure the prices of intermediate goods produced.

▶ **Because these are the only goods and services that are purchased in an economy.**

▶ Because counting all goods and services would lead to double-counting of many activities.

▶ Because one cannot calculate the quantities of intermediate goods produced.

Question No: 17 (Marks: 1) - Please choose one

Suppose in a macroeconomic model, there is no foreign trade or government spending. In this case, aggregate demand is the sum of:

▶ Personal saving and private investment.

▶ Personal saving and personal consumption.

▶ Personal consumption and personal income.

▶ **Personal consumption and private investment.**

Question No: 18 (Marks: 1) - Please choose one

According to the quantity theory of money, which of the following is TRUE for the equation $MV = PQ$?

▶ M has no effect on the price level.

▶ **V is the number of times each dollar is spent per year.**

▶ Q is the real price level.

▶ P rises as V falls, other things constant.

Question No: 19 (Marks: 1) - Please choose one

Potential Gross Domestic Product (GDP) measures the economy's ability to produce goods and services in which of the following conditions?

▶ **If labor force is fully employed.**

▶ If price level is stable.

▶ If trade balance is zero.

▶ If federal budget is balanced.

Question No: 20 (Marks: 1) - Please choose one

Suppose in an economy, a war destroys a large portion of a country's capital stock but the saving rate is unchanged. In this situation, the exogenous model predicts that output will grow and the new steady state will approach towards:

▶ A higher output level than before.

▶ **The same output level as before.**

▶ A lower output level than before.

▶ The Golden Rule output level.

Question No: 21 (Marks: 1) - Please choose one

International data suggest that economies which have different steady states level will converge to:

- ▶ The steady state below the Golden Rule level.
- ▶ **The same steady state.**
- ▶ Their own steady state.
- ▶ The Golden Rule steady state.

Question No: 22 (Marks: 1) - Please choose one

Suppose there are two producers and two products. Which of the following is not TRUE in this situation?

- ▶ A producer has an absolute advantage on one product.
- ▶ **A producer has the comparative advantage on both products.**
- ▶ A producer has the comparative advantage on one product.
- ▶ A producer has an absolute advantage on both products.

Question No: 23 (Marks: 1) - Please choose one

The relationship between hours provided by labor and wage rate is:

- ▶ **Positive.**
- ▶ Negative.
- ▶ Ambiguous.
- ▶ Very strong.

Question No: 24 (Marks: 1) - Please choose one

Which of the following is equal to the number of people unemployed?

- ▶ The number of people employed minus the labor force.
- ▶ The labor force plus the number of people employed.
- ▶ The number of people employed divided by the labor force.
- ▶ **The labor force minus the number of people employed.**

Question No: 25 (Marks: 1) - Please choose one

Structural unemployment occurs:

- ▶ **With economic fluctuations; it increases during bad times and decreases during good times.**
- ▶ Because of a mismatch between the jobs that are available in the economy and the skills of workers seeking jobs.
- ▶ Naturally during the normal workings of an economy, as people change jobs, move across the country, etc.
- ▶ Because the government labels some people who aren't really in the labor force as unemployed.

Question No: 26 (Marks: 1) - Please choose one

Suppose real output in the economy increased. We would expect:

- ▶ **A decrease in unemployment.**
- ▶ A decrease in profit margins.
- ▶ An increase in unemployment.
- ▶ An increase in the natural rate of unemployment.

Question No: 27 (Marks: 1) - Please choose one

Which of the following would be expected to increase the natural rate of unemployment?

- ▶ An increase in the growth rate of the capital stock.
- ▶ A reduction in the corporate profits tax.
- ▶ **An increase in the level of unemployment compensation paid to unemployed workers.**
- ▶ A reduction in the number of new entrants into the labor force.

Question No: 28 (Marks: 1) - Please choose one

If foreign interest rate is 3% and expected depreciation is 10% then what will be the domestic interest rate?

- ▶ **3%.**
- ▶ 10%.
- ▶ 7%.
- ▶ 13%.

Question No: 29 (Marks: 1) - Please choose one

One of the implications of Solow growth model is that all other things remaining the same, countries with rapidly growing population will tend to:

- ▶ **Be poorer than countries with lower population growth.**
- ▶ Grow slower than countries with lower population growth.
- ▶ Grow higher than countries with lower population growth.
- ▶ Have lower marginal products of capital than countries with lower population growth.

Question No: 30 (Marks: 1) - Please choose one

The relationship between tax rates and total tax collections by government is known as:

- ▶ Laffer curve.
- ▶ **Demand curve.**
- ▶ Supply curve.
- ▶ Investment curve.

Question No: 31 (Marks: 1) - Please choose one

Which of the following shows the inverted-U shape when plotted on a graph?

- ▶ Consumption curve.
- ▶ Supply curve.
- ▶ Laffer curve.
- ▶ **Investment curve.**

Question No: 32 (Marks: 1) - Please choose one

In a period of recession, credit creation is:

- ▶ **Small.**

- ▶ Heavy.
- ▶ Unchanged.
- ▶ Zero.

Question No: 33 (Marks: 1) - Please choose one

LM curve shows the equilibrium in:

- ▶ Money Market.
- ▶ **Goods Market.**
- ▶ Labor Market.
- ▶ Financial Market.

Question No: 34 (Marks: 1) - Please choose one

A country has a comparative advantage:

- ▶ If it can produce a good at a higher opportunity cost than other nations.
- ▶ **If it can produce a good at a lower opportunity cost than other nations.**
- ▶ If it can produce a good by using less resources than other nations.
- ▶ If it can produce a good that lies outside its production possibilities curve.

Question No: 35 (Marks: 1) - Please choose one

Which of the following is an important feature of modern economic growth?

- ▶ **Substantial rise in product per capita.**
- ▶ Increased productivity per unit of labor input.
- ▶ Increasing use of modern scientific knowledge.
- ▶ All of the given options.

Question No: 36 (Marks: 1) - Please choose one

Suppose a consumer buys two goods X and Y. The demand for X is elastic, then a rise in the price of X will cause:

- ▶ Total spending on good Y to rise.
- ▶ Total spending on good Y to fall.
- ▶ Total spending on good Y to remain unchanged.
- ▶ **An indeterminate effect on total spending on good Y.**

Question No: 37 (Marks: 1) - Please choose one

Assume that pen and ink are complements. When the price of pen goes up, the demand curve for ink:

- ▶ Shifts to the left.
- ▶ **Shifts to the right.**
- ▶ Remains constant.
- ▶ Shifts to the right initially and then returns to its original position.

Question No: 38 (Marks: 1) - Please choose one

Which of the following will happen if two indifference curves cross each other?

► **The assumption of a diminishing marginal rate of substitution will be violated.**

- The assumption of transitivity will be violated.
- The assumption of completeness will be violated.
- Consumers will minimize their satisfaction.

Question No: 39 (Marks: 1) - Please choose one

Constant returns to scale imply that by:

- **Increasing the inputs by 1% leads to a 0.75% increase in output.**
- Increasing the inputs by 1.6% leads to a 1.5% increase in output.
- Increasing the inputs by 2% leads to a 4% increase in output.
- None of the given options.

Question No: 40 (Marks: 1) - Please choose one

Average total costs are the sum of:

- **Fixed costs and marginal costs**
- Average variable costs and marginal costs
- Average fixed costs and average variable costs
- Average marginal costs and average variable costs

Question No: 41 (Marks: 1) - Please choose one

Theory of firm is not clearly discussed & established in

- Monopoly.
- Perfect competition.
- Oligopoly.
- **None of the given options.**

Question No: 42 (Marks: 1) - Please choose one

If a 7% price reduction causes quantity demanded to rise by 10% then:

- Demand is inelastic.
- Demand is elastic.
- **Demand is perfectly elastic.**
- Total revenue will remain constant.

Question No: 43 (Marks: 1) - Please choose one

Which of the following is not a component of aggregate demand?

- Consumption spending.
- Investment expenditures.
- **Government expenditures.**
- Household income.

Question No: 44 (Marks: 1) - Please choose one

If the simple Keynesian expenditure multiplier is 2, the Marginal Propensity to Consume (MPC) is:

- 0.75
- 0.50

- ▶ 0.25
- ▶ **1.00**

Question No: 45 (Marks: 1) - Please choose one

Monetarists believed that the economy generally:

- ▶ Lies above full-employment.
- ▶ None of the given options.
- ▶ Lies below full-employment.
- ▶ **Gravitated around a full-employment.**

Question No: 46 (Marks: 1) - Please choose one

Balance of payment is an accounting record of a country's transactions with:

- ▶ South Asian countries.
- ▶ Middle East.
- ▶ **Rest of the world.**
- ▶ USA and China.

Question No: 47 (Marks: 1) - Please choose one

How an economy will be affected if money supply is increased in the country?

- ▶ Interest rate increases, investment and GDP reduces.
- ▶ Interest rate increases, investment increases and GDP reduces.
- ▶ Interest rate reduces, investment and GDP increases.
- ▶ Interest rate reduces, investment and GDP reduces.

Question No: 48 (Marks: 1) - Please choose one

The demand for money to buy bonds is called:

- ▶ Transactions demand for money.
- ▶ Precautionary demand for money.
- ▶ Speculative demand for money.
- ▶ **All of the given options.**

Question No: 49 (Marks: 3)

Mention the transactions that cause the demand for dollars to increase in the foreign exchange market.

Pakistani imports of US goods.
Pakistani travelers traveling to the US.
Pakistani students paying for study in US universities.
profits repatriated to
US by US firms operating in Pakistan.

Question No: 50 (Marks: 3)

Why countries have comparative advantage according to Ricardo?

Comparative advantage according to Ricardo:

The law of **comparative advantage** refers to the ability of a party (an individual, a firm, or a country) to produce a particular good or service at a lower opportunity cost than another party. There is a source of comparative advantage can be productivity differentials. Ricardo argued that there is mutual benefit from trade (or exchange) even if one party (**e.g. resource rich country, highly-skilled artisan**) is more productive in every possible area than its trading counterpart (e.g. resource-poor country, unskilled laborer), as long as each concentrates on the activities where it has a relative productivity advantage

Question No: 51 (Marks: 5)

A. "Slope of the consumption function is less than 1". What is meant by this statement?

When we draw in expenditure income space, the consumption function plots as a straight line with positive intercept, and a positive but less than 1 slope.

The slope is less than 1 because not all the income is consumed some part of the income is saved.

B. What are the major macroeconomic variables involved in the determination of national income?

(Marks: 2+3)

C, I, G, X, M, T, S, prices, exchange rate, interest rate and money supply.

Question No: 52 (Marks: 5)

What are the conditions in which foreign exchange market exists? Also give some examples of foreign exchange markets.

In a market there are buyers and sellers who negotiate and agree on the price for the or price for the commodity being exchanged. The foreign exchange market is no different. whatever, here the commodity being traded is foreign exchange and the price is the foreign exchange rate. Specifically, a foreign currency is being traded for the Pakistani Ruppee at a particular rate of exchange.

The sellers and buyers of foreign exchange are not mutually exclusive. The sellers of today, may be the buyers of tomorrow, or even of today.

Foreign exchange market exists when **buyers and sellers** exit and ready to sell and buy.

The **main driving force** for foreign exchange market is the law of supply and demand.

Examples are US \$-PAK RS Foregin exchange market
US \$ - UK POUND Foregin exchange market

Question No: 53 (Marks: 5)

What thing determines comparative advantage among countries according to Hechshcer-Ohlin? What is the criticism against their argument?

According to Hechshcer-Ohlin suppose we are given two countries one abundant in labour and one abundant in capital and a labour-intensive good and a capital intensive good, the labour abundant country will have comparative advantage in the production of the labour-intensive good while the capital abundant country will have comparative advantage in the capital-intensive good.

So the determinants of comparative advantage among countries according to Hechshcer-Ohlin is capital goods and labour intensive goods.

Critics argued that comparative advantage can and should be viewed in a dynamic (time-varying) sense, and that it was not wise to rule out the possibility of Pakistan developing comparative advantage in cars at some future point in time.

Consequent:

The major criticism leveled against Hechscher-Ohlin type trade theories are that they views comparative advantage in an essentially static sense; i.e. if Pakistan is better at producing cotton and Japan better at producing, then this situation will always prevail.

FINALTERM EXAMINATION
Spring 2010
ECO401- Economics (Session - 3)

Time: 90 min
Marks: 69

Asslam O Alikum

Eco 401 current paper solved with reference by Afaaq, Adeel and Shani bhai

Remember Us In Your Prayers

Best regard's

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If not than raise ur standard

That's about me ... !

Question No: 1 (Marks: 1) - Please choose one

At the equilibrium price:

- ▶ There will be a shortage.
- ▶ **There will be neither a shortage nor a surplus.**
- ▶ There will be a surplus.
- ▶ There are forces that cause the price to change.

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Question No: 2 (Marks: 1) - Please choose one

Law of diminishing marginal utility indicates that the slope of the marginal utility curve is:

- ▶ Horizontal.
- ▶ Vertical.
- ▶ **Negative.**
- ▶ Positive.

Question No: 3 (Marks: 1) - Please choose one

An individual with a constant marginal utility of income will be:

- ▶ Risk loving.
- ▶ **Risk neutral.**
- ▶ Risk averse.

- ▶ Insufficient information for a decision.

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Question No: 4 (Marks: 1) - Please choose one

Aslam spends all of his money on racquetballs and food. What would happen to Aslam's budget line if his income increased by 10 percent holding prices constant?

- ▶ It would shift inward.
- ▶ It would rotate about the axis for food.
- ▶ It would rotate about the axis for racquetballs.
- ▶ **It would shift outward.**

Question No: 5 (Marks: 1) - Please choose one

A perfectly competitive firm maximizes profit by finding the level of production at which:

- ▶ **Price = Marginal Cost.**
- ▶ Price = Average Total Cost.
- ▶ Average Total Cost = Marginal Cost.
- ▶ Price < Marginal Cost.

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Question No: 6 (Marks: 1) - Please choose one

A schedule which shows the various amounts of a product consumers are willing and able to purchase at each price in a series of possible prices during a specified period of time is called:

- ▶ Supply schedule.
- ▶ **Demand schedule.**
- ▶ Quantity supplied schedule.
- ▶ Quantity demanded schedule.

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Question No: 7 (Marks: 1) - Please choose one

If income elasticity is negative, the good is:

- ▶ Normal good.
- ▶ A substitute good.
- ▶ A complementary good.
- ▶ **Inferior good.**

Question No: 8 (Marks: 1) - Please choose one

Welfare economics is the branch of economics which deals with:

- ▶ Positive issues.

► **Normative issues.**

- Micro issues.
- Macro issues.

Question No: 9 (Marks: 1) - Please choose one

Suppose to hire the next worker, the firm pays \$50. This \$50 is the:

- Marginal input cost.
- **Marginal cost. douted**
- Marginal revenue product.
- Marginal revenue.

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Question No: 10 (Marks: 1) - Please choose one

A primary implication of Keynesian economics is:

- The best government is the least government.
- **Flexible wages and prices ensure full employment.**
- Monetary policy is far superior to fiscal policy.
- Business-cycle instability is best corrected through government policies.

Question No: 11 (Marks: 1) - Please choose one

An assumption of classical economics is:

- Investment and saving are seldom equal.
- Self-correction takes a long time.
- **Demand creates its own supply.**
- Prices and wages are flexible.

Question No: 12 (Marks: 1) - Please choose one

How many methods are there to measure Gross Domestic Product?

- **Three.**
- Four.
- Five.
- Six.

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Question No: 13 (Marks: 1) - Please choose one

The trend of unemployment over the last forty years is:

- A decrease in unemployment.
- It has remained largely unchanged.
- **An increase in unemployment.**
- It is too difficult to tell so don't bother.

Question No: 14 (Marks: 1) - Please choose one

Which of the following is a less important component of the balance of payments?

- ▶ **The capital account.**
- ▶ The current account.
- ▶ The financial account.
- ▶ All three components are equally important.

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Question No: 15 (Marks: 1) - Please choose one

Growth rate of per capita income is equal to:

- ▶ Growth rate of total output / Growth rate of population.
- ▶ Growth rate of population / Growth rate of total output.
- ▶ **Growth rate of total output + Growth rate of population.**
- ▶ Growth rate of total output - Growth rate of population.

Question No: 16 (Marks: 1) - Please choose one

The similarity in the Perfect competition and monopolistic competition is that:

- ▶ Firms in both types of market structure will act as price takers.
- ▶ Firms in both types of market structure will produce a product that is exactly like one produced by other firms in the industry.
- ▶ **Firms in both types of market structure will produce a level of output where price equals marginal cost.**
- ▶ Firms in both types of market structure will earn zero profit in the long run.

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Question No: 17 (Marks: 1) - Please choose one

For price making firm, at the profit-maximizing level of output, what is TRUE of the total revenue (TR) and total cost (TC) curves?

- ▶ **They must intersect with TC cutting TR from below.**
- ▶ They must intersect with TC cutting TR from above.
- ▶ They must be tangent to each other.
- ▶ They must have the same slope.

Question No: 18 (Marks: 1) - Please choose one

Which of the following best describes the total market value of all final goods and services produced within the boundary of a country in a year?

- ▶ **Gross domestic product.**
- ▶ Net national product.
- ▶ Net national income.
- ▶ Disposable personal income.

Question No: 19 (Marks: 1) - Please choose one

Which of the following would occur if injections are less than withdrawals at the full-employment level of income?

- ▶ A deflationary gap.
- ▶ Hysteresis.
- ▶ Hyperinflation.
- ▶ An inflationary gap.

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Question No: 20 (Marks: 1) - Please choose one

Suppose in an economy, a war destroys a large portion of a country's capital stock but the saving rate is unchanged. In this situation, the exogenous model predicts that output will grow and the new steady state will approach towards:

- ▶ A higher output level than before.
- ▶ **The same output level as before.**
- ▶ A lower output level than before.
- ▶ The Golden Rule output level.

Question No: 21 (Marks: 1) - Please choose one

GNP is a good indicator of:

- ▶ **The total payment of factor owners.**
- ▶ The amount of consumption and investment.
- ▶ The conditions of production and employment.
- ▶ The amount of incomes available for spending.

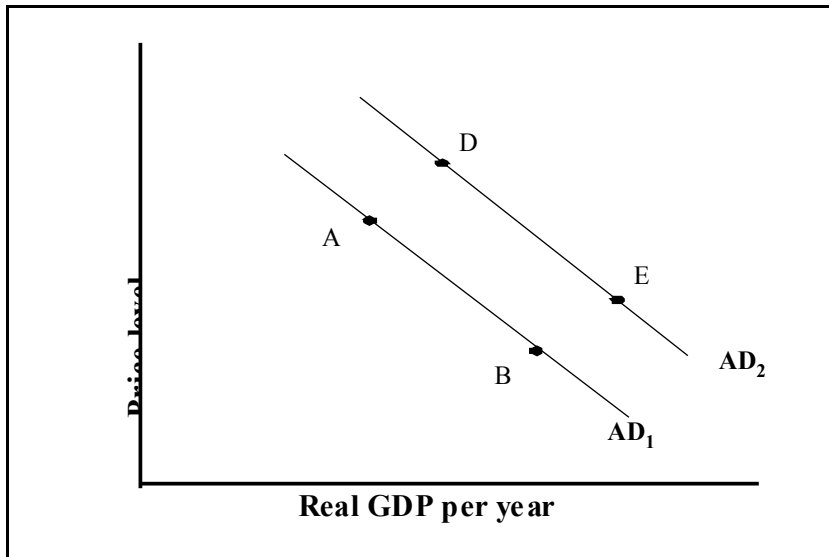
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Question No: 22 (Marks: 1) - Please choose one

The demand curve for labour can be derived from the intersection of:

- ▶ **Horizontal wage rate lines and the marginal revenue product of labour.**
- ▶ Vertical wage rate lines and the marginal revenue product of labour.
- ▶ Vertical wage rate lines and the marginal revenue product of capital.
- ▶ Horizontal wage rate lines and the marginal revenue product of capital.

Question No: 23 (Marks: 1) - Please choose one



In the above figure, a movement from point A to point B:

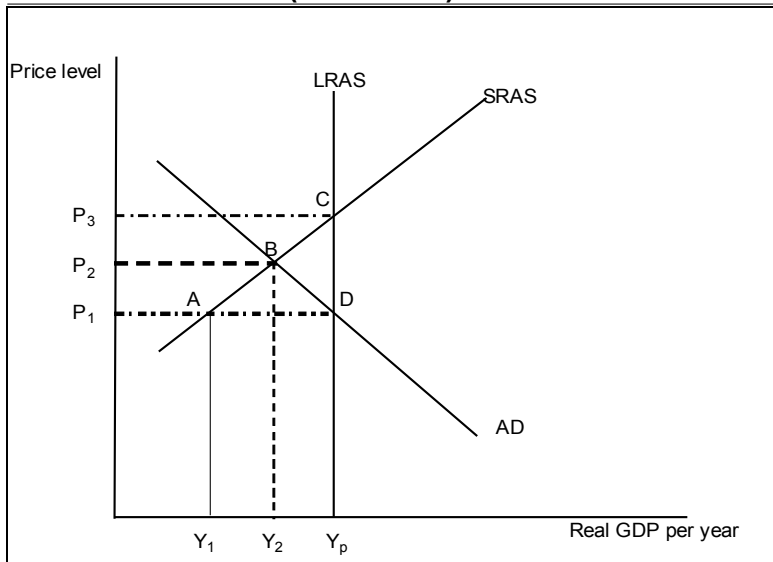
- ▶ Is a change in aggregate demand resulting from a lower price level.
- ▶ **Is change in aggregate quantity demanded resulting from a lower price level.** doubted

- ▶ Could be due to an increase in investment demand.

- ▶ Occurs because aggregate output supplied has increased.

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Question No: 24 (Marks: 1) - Please choose one



Refer to the above figure, what are the prevailing price level and the output level in the economy?

- ▶ Price level = P_1 ; real GDP = Y_p .
- ▶ Price level = P_1 ; real GDP = Y_1 .
- ▶ **Price level = P_2 ; real GDP = Y_2 .** doubted
- ▶ Price level = P_3 ; real GDP = Y_p .

Question No: 25 (Marks: 1) - Please choose one

Which of the following is equal to personal savings?

- ▶ Gross domestic income – consumption.
- ▶ Personal disposable income – consumption.
- ▶ Gross domestic product – consumption.
- ▶ **Personal disposable income – taxes – consumption.**

Question No: 26 (Marks: 1) - Please choose one

In the definition of labor force, economists include:

- ▶ Only people who are working full-time.
- ▶ **People who are not working but are actively looking for a job and people who are working.**
- ▶ People who are working.
- ▶ None of the given options.

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Question No: 27 (Marks: 1) - Please choose one

If a country devalues its currency, what will be its results?

- ▶ Its imports will be cheaper for its citizens and its exports will be expensive from the point of view of foreigners.
- ▶ Both its imports and exports will be cheaper for the citizens and for foreigners.
- ▶ **Its imports will seem more expensive for the citizens and export will seem cheaper to the foreigners.**
- ▶ Both imports and exports will seem more expensive.

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Question No: 28 (Marks: 1) - Please choose one

If net exports are positive, this implies that the country has:

- ▶ Trade surplus.
- ▶ Trade deficit.
- ▶ **Government budget surplus.**
- ▶ Government budget deficit.

Question No: 29 (Marks: 1) - Please choose one

We can measure economic growth with the help of:

- ▶ The Consumer Price Index.
- ▶ The Producer Price Index.
- ▶ **Gross Domestic Product.**

P 161

- ▶ Marginal Propensity to Consume.

Question No: 30 (Marks: 1) - Please choose one

Development is impossible without:

- ▶ Incentive to profit.

- ▶ Foreign aid.
- ▶ Domestic savings.
- ▶ **Inflation.**

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Question No: 31 (Marks: 1) - Please choose one

Public investment expenditure for highways, schools, and national defense is included in which component of GDP?

- ▶ Consumption.
- ▶ Gross private investment.
- ▶ **Government purchases.**

P 172 Government purchases are used to operate the government (administrative salaries, etc.) and to provide public goods (national defense, highways, etc.).

- ▶ Public investment.

Question No: 32 (Marks: 1) - Please choose one

The principle of taxation which emphasizes on fairness or just sacrifice is known as:

- ▶ Efficiency.
- ▶ **Equity.**

P 173 Equity represents that principle of taxation which emphasizes fairness or just sacrifice,

- ▶ Progressive tax.
- ▶ Regressive tax.

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Question No: 33 (Marks: 1) - Please choose one

Suppose you keep Rs. 35 in your pocket to purchase a movie CD when it will come out next month in the market. What is the function of money in this context?

- ▶ Medium of exchange.
- ▶ Unit of account.
- ▶ Standard of deferred payment.
- ▶ **Store of value.**

Question No: 34 (Marks: 1) - Please choose one

Suppose the central bank's primary goal is to stabilize the prices and it aims to keep the inflation rate at 6%. If the inflation rate rose above 6%, central bank should adopt which of the following policy?

- ▶ **An expansionary monetary policy.**
- ▶ A contractionary monetary policy.
- ▶ It should reduce the required reserve ratio.
- ▶ It should impose a temporary ceiling on the federal funds rate.

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Question No: 35 (Marks: 1) - Please choose one

Countries that are not among the high income nations of the world are categorized as:

- ▶ Developed countries.
- ▶ Progressed countries.
- ▶ **Developing countries.**
- ▶ High income countries.

Question No: 36 (Marks: 1) - Please choose one

Developing countries have ----- unemployment than the developed countries.

- ▶ **Higher.**
- ▶ Lower.
- ▶ About the same.
- ▶ In some cases higher while in others lower.

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Question No: 37 (Marks: 1) - Please choose one

Why agriculture sector has an important role to play in the development process?

- ▶ Because a balanced approach to growth is necessary.
- ▶ Because the vast majority of an under developed country is engaged in agriculture.

▶ **Because agriculture may be a major bottleneck in the process of development.**

- ▶ Because of all of the given options.

Question No: 38 (Marks: 1) - Please choose one

Which of the following will happen if the cost of computer components falls?

- ▶ **The demand curve for computers shifts to the right.**
- ▶ The demand curve for computers shifts to the left.
- ▶ The supply curve for computers shifts to the right.
- ▶ The supply curve for computers shifts to the left.

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Question No: 39 (Marks: 1) - Please choose one

In cartels, there are a small number of sellers and usually involve

- ▶ Heterogeneous products.
- ▶ Large competition.
- ▶ **Homogeneous products.**
- ▶ Less demand in market.

Question No: 40 (Marks: 1) - Please choose one

If different firms in the oligopolistic structures do not cooperate with each other is known as

► Collusive oligopoly.

► Cartel.

► Price leadership.

► **Non-collusive oligopoly.**

P 82 If different firms in the oligopolistic structures do not cooperate with each other is known as non collusive oligopoly.

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Question No: 41 (Marks: 1) - Please choose one

Slope and elasticity of demand have

► A direct relation.

► **An inverse relationship.**

P 27 Slope and elasticity of demand have an inverse relationship.

► No relation between slope and elasticity.

► None of the given options.

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Question No: 42 (Marks: 1) - Please choose one

If you sum the marginal utilities obtained by consumption from one unit to five units of any commodity, you will get:

► **The marginal utility for the consumption of the fifth unit.**

► The marginal utility for the consumption of the sixth unit.

► The total utility for the consumption of the first five units.

► The average utility for the consumption of the first five units.

Question No: 43 (Marks: 1) - Please choose one

Price war is often seen in which of the following markets:

► Perfect competition.

► **Monopoly.**

► Oligopoly.

► Duopoly.

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Question No: 44 (Marks: 1) - Please choose one

Assume that there is no government or foreign sector, if the marginal propensity to save (MPS) is 0.2, then the value of saving multiplier will be equal to:

► **0.80**

► 1.20

- ▶ 0.50
- ▶ 1.25

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Question No: 45 (Marks: 1) - Please choose one

If domestic interest rate is greater than foreign interest rate + expected depreciation then:

- ▶ **One should invest in domestic market. doubted**
- ▶ One should invest abroad.
- ▶ One should remain indifferent.
- ▶ Make half investment in domestic market and half investment in foreign market.

Question No: 46 (Marks: 1) - Please choose one

In endogenous growth model the permanent growth rate depends on the saving rate and:

- ▶ Labor participation rate.
- ▶ Capital stock.
- ▶ Investment.
- ▶ **Technological progress.**

P 167

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Question No: 47 (Marks: 1) - Please choose one

How an economy will be affected if money supply is increased in the country?

- ▶ Interest rate increases, investment and GDP reduces.
- ▶ Interest rate increases, investment increases and GDP reduces.
- ▶ **Interest rate reduces, investment and GDP increases. doubted**
- ▶ Interest rate reduces, investment and GDP reduces.

Question No: 48 (Marks: 1) - Please choose one

In IS-LM model, a decrease in government spending should move the:

- ▶ IS curve leftward.
- ▶ IS curve rightward.
- ▶ LM curve rightward.
- ▶ LM curve leftward.

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Question No: 49 (Marks: 3)

Differentiate between inflation and deflation.

Question No: 50 (Marks: 3)

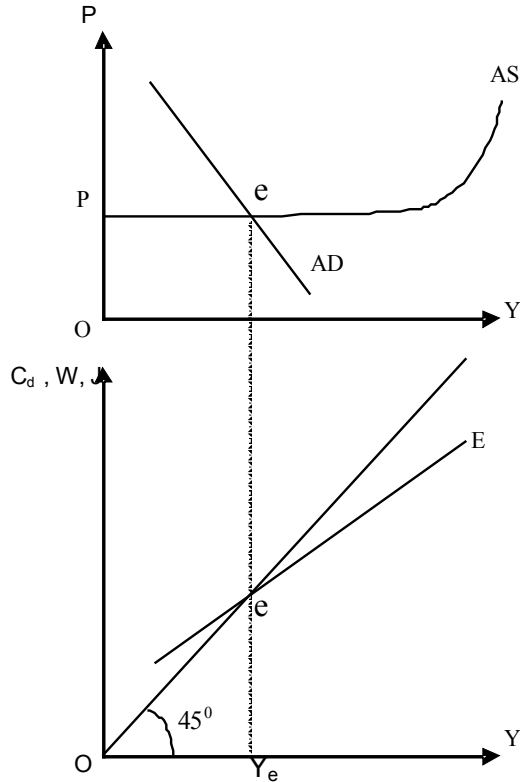
Explain the shape of money supply curve with the help of diagram.

Question No: 51 (Marks: 5)

What is meant by Philips Curve? Explain the shape of this curve with the help of diagram.

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Question No: 52 (Marks: 5)



In the above figure, suppose the economy is on the horizontal portion of aggregate supply (AS) curve.

- If government expenditures increase, what will happen to the aggregate expenditure line E, aggregate demand curve AD and output level Y.
- Is there any multiplier effect? How it works in this case?

(Marks: 3+2)

Question No: 53 (Marks: 5)

How crowding out of investment demand occur due to expansionary fiscal policy?

Eco 401 current paper solved with reference by Afaaq, Adeel and Shani bhai

Remember Us In Your Prayers

Best regard's

Muhammad Afaaq

Mba 3rd Finance Group

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0346-5329264***

If u like me than raise your hand with me

If not than raise ur standard

That's about me ... !

Question No: 1 (Marks: 1) - Please choose one

An

increase in supply is shown by:

- ▶ Shifting the supply curve to the left.
- ▶ Shifting the supply curve to the right.
- ▶ Upward movement along the supply curve.
- ▶ Downward movement along the supply curve.

Question No: 2 (Marks: 1) - Please choose one

Which of the following will be TRUE if demand is inelastic?

- ▶ The coefficient of elasticity is greater than one.
- ▶ The percentage change in quantity demanded is same as the percentage change in the price.
- ▶ An increase in price will increase total revenue.
- ▶ None of the given options.

Question No: 3 (Marks: 1) - Please choose one

Which of the following is regarded as a general determinant of price elasticity of demand?

- ▶ Nature of the good (luxury versus necessity).
- ▶ Availability of close substitutes.
- ▶ Share of consumer's budget and passage of time.
- ▶ All of the given options.

Question No: 4 (Marks: 1) - Please choose one

Suppose there are only two goods A and B, if more of good A is always preferred to less, and if less of good B is always preferred to more, then:

- ▶ Indifference curves slope downwards.
- ▶ Indifference curves slope upwards.
- ▶ Indifference curves may cross.
- ▶ Indifference curves could take the form of ellipses.

Question No: 5 (Marks: 1) - Please choose one

If a

consumer's marginal rate of substitution equals 2 eggs for 1 hamburger then:

- ▶ The consumer's indifference curve must be positively sloped.
- ▶ The consumer's indifference curve must be convex with respect to the origin of the graph.

- ▶ The ratio of the consumer's marginal utility of 1 egg to that of 1 hamburger must equal $\frac{1}{2}$.
- ▶ All of the given options.

Question No: 6 (Marks: 1) - Please choose one

Suppose you are a workaholic (like work a lot) and your friend is a leisure lover. Compared to your friend your indifference curve will be:

- ▶ Flatter.
- ▶ Steeper.
- ▶ Identical.
- ▶ None of the given options.

Question No: 7 (Marks: 1) - Please choose one

In economics, the "long run" is a time period in which:

- ▶ All inputs are variable.
- ▶ All inputs are paid for.
- ▶ All outputs are determined.
- ▶ All loans are repaid.

Question No: 8 (Marks: 1) - Please choose one

To find the profit maximizing level of output, a firm finds the output level where:

- ▶ Price equals marginal cost.
- ▶ Marginal revenue and average total cost.
- ▶ Price equals marginal revenue.
- ▶ None of the given options.

Question No: 9 (Marks: 1) - Please choose one

A perfectly competitive firm maximizes profit by finding the level of production at which:

- ▶ Price = Marginal Cost.
- ▶ Price = Average Total Cost.
- ▶ Average Total Cost = Marginal Cost.
- ▶ Price < Marginal Cost.

Question No: 10 (Marks: 1) - Please choose one

In the short run, a firm should shut down when:

- ▶ Production losses are less than fixed costs.

- ▶ Only normal profits are earned.
- ▶ Production losses exceed fixed costs.
- ▶ Fixed costs are zero.

Question No: 11 (Marks: 1) - Please choose one

Loud music from a neighbor's party is:

- ▶ A negative externality whether or not you like it.
- ▶ A positive externality whether or not you like it.
- ▶ A positive externality if you like the music and a negative externality if you don't.
- ▶ A negative externality if you like the music and a positive externality if you don't.

Question No: 12 (Marks: 1) - Please choose one

Classical economics was replaced as the dominant theory of macroeconomic analysis by:

- ▶ Monetarism.
- ▶ Rational expectations.
- ▶ Keynesian economics.
- ▶ Neoclassical economics.

Question No: 13 (Marks: 1) - Please choose one

Unemployment benefits may increase the unemployment rate because:

- ▶ Unemployment benefits reduce the cost of job search.
- ▶ Unemployment benefits encourage people to quit their jobs.
- ▶ Unemployment benefits reduce the benefits of additional job searching.
- ▶ Unemployment benefits enable people to quit searching for work.

Question No: 14 (Marks: 1) - Please choose one

Naima has just finished her school job and is waiting to report to new job at the beginning of the month. Naima is considered to be:

- ▶ Cyclically unemployed.
- ▶ Employed.
- ▶ Structurally unemployed.
- ▶ Frictionally unemployed.

Question No: 15 (Marks: 1) - Please choose one

Which of the following is a less important component of the balance of payments?

- ▶ The capital account.
- ▶ The current account.
- ▶ The financial account.
- ▶ All three components are equally important.

Question No: 16 (Marks: 1) - Please choose one

An increase in "per capita" national income implies that:

- ▶ Everyone in the nation is enjoying a better standard of living.
- ▶ The population has increased.
- ▶ National income has risen faster than the population has risen.
- ▶ The distribution of income has improved.

Question No: 17 (Marks: 1) - Please choose one

Suppose the government increases spending. Which of the following would be part of the crowding out effect?

- ▶ Interest rate rises and investment falls.
- ▶ Interest rate rises and velocity of circulation also rises.
- ▶ Higher interest rates encourage the central bank to increase the money supply.
- ▶ Interest rate falls and exports rise.

Question No: 18 (Marks: 1) - Please choose one

Real Gross National Product (GNP) is best defined as:

- ▶ The pound value of all final goods and services produced in the economy during a particular time period and measured in current prices.
- ▶ The pound value of all goods produced for final consumption by households in a particular year and measured in constant prices.
- ▶ The current pound value of all new and used goods produced and sold in the economy during a particular time period.
- ▶ The market value of all final goods and services produced by the economy during a given time period, with prices held constant relative to some base period.

Question No: 19 (Marks: 1) - Please choose one

The news on the television reports that the dollar has strengthened relative to the Japanese yen. This means that:

- ▶ The dollar can now purchase more yen.
- ▶ The US trade balance with the Japanese economy has improved.
- ▶ The yen can now purchase more dollars.
- ▶ The dollar has depreciated relative to the yen.

Question No: 20 (Marks: 1) - Please choose one

The

Marginal Propensity to Save (MPS) is:

- ▶ One Minus Marginal Propensity to Consume (MPC).
- ▶ Saving divided by consumption.
- ▶ The slope of the consumption function (or line).
- ▶ The proportion of disposable income used for consumption.

Question No: 21 (Marks: 1) - Please choose one

Which of the following is true about supply curve under monopoly?

- ▶ It is same as the competitive market supply curve.
- ▶ It is the portion of marginal cost curve where marginal costs exceed the minimum value of average variable costs.
- ▶ It is the result of market power and production costs.
- ▶ None of the given statements is true.

Question No: 22 (Marks: 1) - Please choose one

All

of the following conditions lead to the successful operation of a cartel EXCEPT:

- ▶ Market demand for the good is relatively inelastic.
- ▶ The cartel supplies all of the world's output of the good.
- ▶ Cartel members have substantial cost advantages over non-member producers.
- ▶ The supply of non-cartel members is very price elastic.

Question No: 23 (Marks: 1) - Please choose one

Which of the following is required to make the equation of exchange in the quantity theory of money?

- ▶ V and Q are assumed to be constant.
- ▶ The money supply is assumed to be produced by the banking system and not exclusively in currency.
- ▶ The quantity of money is assumed to determine the amount of Real GDP.
- ▶ M and P are considered constant.

Question No: 24 (Marks: 1) - Please choose one

Potential Gross Domestic Product (GDP) measures the economy's ability to produce goods and services in which of the following conditions?

- ▶ If labor force is fully employed.
- ▶ If price level is stable.
- ▶ If trade balance is zero.
- ▶ If federal budget is balanced.

Question No: 25 (Marks: 1) - Please choose one

Which of the following specifies the maximum amount of a good that may be imported in a given period of time?

- ▶ Trade restriction.
- ▶ Quota.
- ▶ Import restriction.
- ▶ Legislative restriction.

Question No: 26 (Marks: 1) - Please choose one

GNP is a good indicator of:

- ▶ The total payment of factor owners.
- ▶ The amount of consumption and investment.
- ▶ The conditions of production and employment.
- ▶ The amount of incomes available for spending.

Question No: 27 (Marks: 1) - Please choose one

demand for factors of production is derived from:

- ▶ Money market.
- ▶ Goods market.
- ▶ Stock market.
- ▶ Financial market.

The

Question No: 28 (Marks: 1) - Please choose one

Labor supply curve is backward bending because:

- ▶ The income effect of higher income dominates the substitution effect of higher wages.
- ▶ The substitution effect of higher income dominates the income effect of higher wages.
- ▶ The income effect of higher income dominates the price effect of higher wages.
- ▶ None of the given options.

Question No: 29 (Marks: 1) - Please choose one

discounted value of the net returns that the asset generates over a period of time plus the discounted value of its disposal value at the end of the period minus the initial purchase cost is known as:

- ▶ Future value.
- ▶ Net present value.
- ▶ Discounted value.
- ▶ Disposal value.

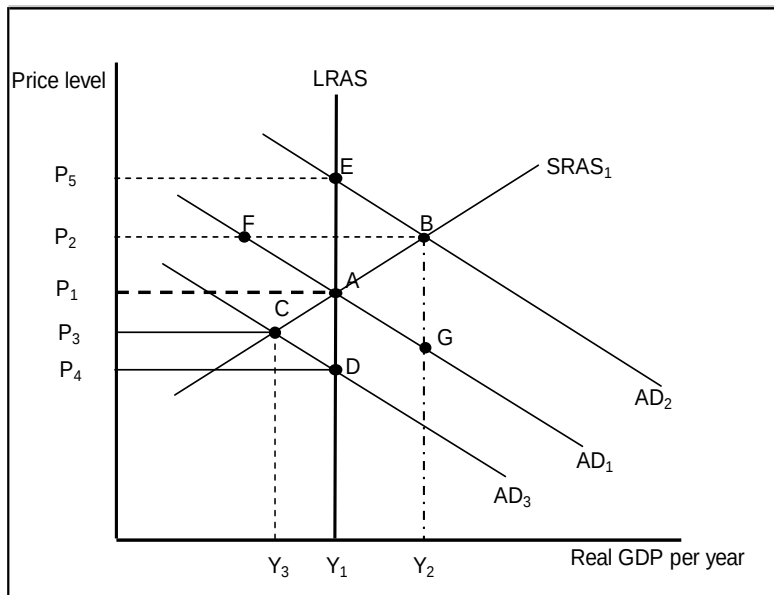
The

Question No: 30 (Marks: 1) - Please choose one

Information products are also known as:

- ▶ Inferior products.
- ▶ Superior products.
- ▶ Internet products.
- ▶ Expensive products.

Question No: 31 (Marks: 1) - Please choose one



Refer to the above figure, suppose that the economy is in long-run equilibrium at point A. Now suppose the stock market crashes, significantly reducing household wealth. What happens in the short-run?

- ▶ Real GDP remains at Y_1 but the price level falls to P_3 .
- ▶ The quantity of real GDP demanded falls resulting in a movement from point A to point F.
- ▶ Real GDP decreases from Y_1 to Y_3 and the price level falls from P_1 to P_3 .
- ▶ The economy moves to a short-run equilibrium at point D.

Question No: 32 (Marks: 1) - Please choose one

Which of the following is a cost of rising unemployment?

- I. Output foregone.
 - II. Unemployment compensation that must be paid.
 - III. Rising inflation that erodes the value of money.
- ▶ I, II, and III.
 - ▶ I and II.
 - ▶ I and III.
 - ▶ II and III.

Question No: 33 (Marks: 1) - Please choose one

Rising inflation means:

- ▶ That the price level is increasing by a given percentage rate.
- ▶ That the prices of all goods and services increase from year to year.
- ▶ That the price level is rising at an increasing rate.
- ▶ That the price level is rising at a variable rate.

Question No: 34 (Marks: 1) - Please choose one

Economic growth occurs by an outward shift of:

- ▶ The production possibility frontier.
- ▶ The gross domestic barrier.
- ▶ The marginal consumption frontier.
- ▶ The minimum efficient scale.

Question No: 35 (Marks: 1) - Please choose one

Which of the following is a necessary condition for the high rate of modern economic growth?

- ▶ Continuous technology progress.
- ▶ High rate of population growth.
- ▶ Development of urban centers.
- ▶ Expansion of railways.

Question No: 36 (Marks: 1) - Please choose one

government has a balanced budget if:

- ▶ Its total revenues are equal to its total expenditures.
- ▶ Its total revenues are less than its total expenditures.
- ▶ Its total revenues are greater than its total expenditures.
- ▶ The money supply is less than total expenditures.

The

Question No: 37 (Marks: 1) - Please choose one

Which of the following is the monetary policy tool that involves the buying and selling of government bonds?

- ▶ Moral suasion.
- ▶ Reserve requirements.
- ▶ The discount rate.
- ▶ Open market operations.

Question No: 38 (Marks: 1) - Please choose one

When the comparative advantage in production of a good does occur?

- ▶ When a country can produce that good using fewer resources than other countries.

- ▶ When a country can produce that good at a greater opportunity cost than other countries.
- ▶ When a country can produce that good at a lower opportunity cost than other countries.
- ▶ When a country has a greater supply of natural resources required to produce that good, compared to other countries.

Question No: 39 (Marks: 1) - Please choose one

A

quota is defined as:

- ▶ A restriction on exports.
- ▶ A unit tax imposed on a product.
- ▶ A limit on the quantity of a good that can be exported.
- ▶ A limit on the quantity of a good that can be imported.

Question No: 40 (Marks: 1) - Please choose one

Which of the following statements is TRUE about the agriculture sector in low income countries?

- ▶ The agricultural sector has been decreasing in size because its productive workers prefer to migrate to urban areas.
- ▶ The agricultural sector is by far the largest producer and the most productive sector in low-income countries.
- ▶ Although the agricultural sector is the largest employer, labor's productivity in this sector is very low.
- ▶ The agricultural sector has been increasing in size and in terms of labor productivity as rural farmers increasingly start to mechanize.

Question No: 41 (Marks: 1) - Please choose one

Production possibilities curve will shift downward if there is:

- ▶ Immigration of skilled workers into the nation.
- ▶ An increase in the size of the working-age population.
- ▶ A decrease in the size of the working-age population.
- ▶ Increased production of capital goods.

Question No: 42 (Marks: 1) - Please choose one

Suppose the total costs of first four units of an output produced are 10, 20, 30, and 40 respectively. What is the marginal cost of the fourth unit of output?

- ▶ 10.
- ▶ 20.
- ▶ 30.
- ▶ 40.

Question No: 43 (Marks: 1) - Please choose one

If

marginal revenue is Rs. 15,000 and marginal cost is Rs. 20,000. The firm should:

- ▶ Expand output.
- ▶ Do nothing without information about your fixed costs.
- ▶ Expand output until marginal revenue equals zero.
- ▶ Reduce output until marginal revenue equals marginal cost.

Question No: 44 (Marks: 1) - Please choose one

The

average annual income per head for all the inhabitants of the country is known as:

- ▶ Gross domestic product.
- ▶ Gross national product.
- ▶ Net national product.
- ▶ Per capita income.

Question No: 45 (Marks: 1) - Please choose one

Gross domestic product deflator can be obtained by dividing nominal gross domestic product with:

- ▶ Real gross domestic product.
- ▶ Gross national product.
- ▶ Net national product.
- ▶ Per capita income.

Question No: 46 (Marks: 1) - Please choose one

The

principle which states that a change in income causes a magnified change in investment is termed as the:

- ▶ None of the given.
- ▶ Paradox of thrift.
- ▶ Multiplier effect.
- ▶ Accelerator effect.

Question No: 47 (Marks: 1) - Please choose one

If

central bank increased the money supply, then what will be happen to IS curve?

- ▶ IS curve will Shifts rightward.
- ▶ IS curve will Shifts leftward.
- ▶ IS curve will remain unaffected.
- ▶ IS curve will become vertical.

Question No: 48 (Marks: 1) - Please choose one

The

value of world trade has increased -----over the period of 1930-2000.

- ▶ 20 fold
- ▶ 10 fold
- ▶ 5 fold
- ▶ 14 fold

Question No: 49 (Marks: 3)

Write down the functions of commercial banks.

Question No: 50 (Marks: 3)

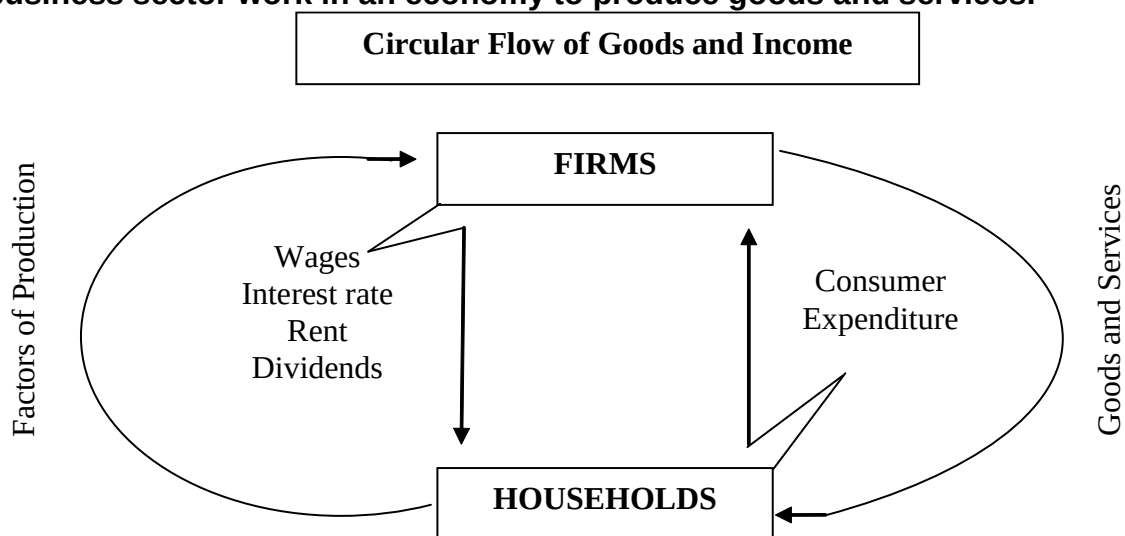
How the growth rate of output is determined in the exogenous growth model?

Question No: 51 (Marks: 5)

Why is taxation necessary? What are the principles of taxation?

Question No: 52 (Marks: 5)

Following figure shows the circular flow of goods and income in a two sector economy. Interpret all the points in this figure that how the household sector and business sector work in an economy to produce goods and services.



Question No: 53 (Marks: 5)

Explain the difference between current account and capital account.

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FINAL TERM EXAMINATION
Spring 2010
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ECO401- Economics (Session - 5)

Question No: 1 (Marks: 1) - Please choose one

more of a good is consumed, then total utility typically:

As

- ▶ **Increases at a decreasing rate.**
- ▶ Decreases as long as marginal utility is negative.
- ▶ Decreases as long as marginal utility is positive.
- ▶ Is negative as long as marginal utility is decreasing.

Question No: 2 (Marks: 1) - Please choose one

production function:

A

- ▶ Relates inputs with output.
- ▶ Generates a curve that is upward sloping.
- ▶ Shows diminishing marginal product of an input, since it gets flatter as output rises.
- ▶ **All of the given options.**

Question No: 3 (Marks: 1) - Please choose one

_____ arises when an increase in all inputs leads to a more-than-proportional increase in the level of output. _____ means that as inputs are added to the production process, output increases proportionally.

- ▶ **Economies of scale; constant returns to scale.**
- ▶ Constant returns to scale; decreasing returns to scale.
- ▶ Decreasing returns to scale; economies of scale.
- ▶ Economies of scale; decreasing returns to scale.

Question No: 4 (Marks: 1) - Please choose one

Total costs are the sum of:

- ▶ Marginal costs and variable costs.
- ▶ **Fixed costs and variable costs.**
- ▶ Fixed costs and marginal costs.
- ▶ Average variable costs and marginal costs.

Question No: 5 (Marks: 1) - Please choose one

compared to existing firms, a new firm entering in monopolist market has:

As

- ▶ **High costs.**
- ▶ Low costs.

- ▶ Equal costs.
- ▶ None of the given options.

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Question No: 6 (Marks: 1) - Please choose one

_____ The
maximum price that a consumer is willing to pay for a good is called:

- ▶ The reservation price.
- ▶ **The market price.**
- ▶ The first-degree price.
- ▶ The block price.

Question No: 7 (Marks: 1) - Please choose one

_____ The
market structure in which strategic considerations are most important is:

- ▶ Monopolistic competition.
- ▶ **Oligopoly.**
- ▶ Pure competition.
- ▶ Pure monopoly.

Question No: 8 (Marks: 1) - Please choose one

_____ Price exceeds marginal revenue in which of the following market structure(s)?

- ▶ Differentiated oligopoly and monopoly only.
- ▶ Standardized oligopoly and pure competition only.
- ▶ Monopolistic competition and monopoly only.
- ▶ **Monopolistic competition, oligopoly and monopoly.**

Question No: 9 (Marks: 1) - Please choose one

_____ For
a firm buying labor competitively, the marginal input cost is equal to the:

- ▶ **Wage.**
- ▶ Interest rate.
- ▶ Price of output.
- ▶ Cost of raw materials.

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Question No: 10 (Marks: 1) - Please choose one

_____ Unlike the classical economists, Keynes believed that the economy could get stuck in the short run for a significant period of time because of:

- ▶ **Insufficient aggregate supply.**

- ▶ **Insufficient aggregate demand.**
- ▶ Quick self correcting mechanism.
- ▶ Government purchases of too many goods and services.

Question No: 11 (Marks: 1) - Please choose one

According to Keynes, the economy does not self correct quickly because:

- ▶ With less consumption and more savings the interest rate will drop.
- ▶ In the short run workers are fully employed and cannot produce enough to get to long run equilibrium.
- ▶ Wages and prices are flexible in the short run.
- ▶ **Wages and prices are sticky in the short run.**

Question No: 12 (Marks: 1) - Please choose one

assumption of classical economics is: An

- ▶ Prices and wages are inflexible.
- ▶ Self-correction takes a long time.
- ▶ **Supply creates its own demand.**
- ▶ Investment and saving are seldom equal.

Question No: 13 (Marks: 1) - Please choose one

real interest rate will increase: The

- ▶ If there is an excess supply of loanable funds in the financial markets.
- ▶ **If there is an excess demand for loanable funds in the financial markets.**
- ▶ If there is an excess supply of loanable funds in the foreign exchange markets.
- ▶ If there is an excess demand for loanable funds in the foreign exchange markets.

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Question No: 14 (Marks: 1) - Please choose one

Which of the following is a less important component of the balance of payments?

- ▶ **The capital account.**
- ▶ The current account.
- ▶ The financial account.
- ▶ All three components are equally important.

Question No: 15 (Marks: 1) - Please choose one

Endogenous growth theory was developed in:

- ▶ 1980.
- ▶ 1965.
- ▶ 1970.
- ▶ 1950.

Question No: 16 (Marks: 1) - Please choose one

capita income is obtained by dividing national income by:

Per

- ▶ Total labor force in the country.
- ▶ Unemployed youth in the country.
- ▶ None of the given options.
- ▶ Total population of that country.

Question No: 17 (Marks: 1) - Please choose one

Which of the following is deducted from Gross National Product to get Net National Product?

- ▶ Indirect taxes.
- ▶ Depreciation.
- ▶ Direct taxes.
- ▶ Transfer payments.

Question No: 18 (Marks: 1) - Please choose one

the Keynesian cross model, the 45-degree line has a slope of:

In

- ▶ 45.
- ▶ Infinity.
- ▶ 1.
- ▶ 0.

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Question No: 19 (Marks: 1) - Please choose one

principle economic difference between a competitive and a non-competitive market is:

The

- ▶ The number of firms in the market.
- ▶ The extent to which any firm can influence the price of the product.
- ▶ The size of the firms in the market.
- ▶ The annual sales made by the largest firms in the market.

Question No: 20 (Marks: 1) - Please choose one

Those who hold the classical view of the labour market are likely to believe that:

- ▶ Monetary but not fiscal policy will have an effect on output and employment.
- ▶ Fiscal but not monetary policy will have an effect on output and employment.
- ▶ Both monetary and fiscal policy will have an effect on output and employment.
- ▶ Neither monetary nor fiscal policy will have an effect on output and employment.

Question No: 21 (Marks: 1) - Please choose one

Which of the following statements is TRUE about the Classical and Keynesian approaches to achieve a macroeconomic equilibrium in an economy?

- ▶ Keynesian economists actively promote the use of fiscal policy while the classical economists do not.
- ▶ Keynesian economists actively promote the use of monetary policy to improve aggregate economic performance while the classical economists do not.
- ▶ Classical economists believe that monetary policy will certainly affect the level of output while the Keynesians believe that money growth affects only prices.
- ▶ Classical economists believe that fiscal policy is an effective tool for achieving economic stability while the Keynesians do not.

Question No: 22 (Marks: 1) - Please choose one

What will be the primary result of inflation in an economy?

- ▶ A rise in personal wealth.
- ▶ A rise in wages.
- ▶ A decline in prices.
- ▶ A decline in the value of money.

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Question No: 23 (Marks: 1) - Please choose one

Suppose in an economy, a war destroys a large portion of a country's capital stock but the saving rate is unchanged. In this situation, the exogenous model predicts that output will grow and the new steady state will approach towards:

- ▶ A higher output level than before.
- ▶ The same output level as before.
- ▶ A lower output level than before.
- ▶ The Golden Rule output level.

Question No: 24 (Marks: 1) - Please choose one

Firm A produces cotton worth Rs. 1000 and sells it to firm B. From this, firm B makes yarn

worth Rs. 1500 and sells to firm C. Firm C manufactures cloth worth Rs. 2500 and sells to consumers. The value added is:

- ▶ $1000+1500+2500 = \text{Rs. } 5000$
- ▶ $1000+500+2500 = \text{Rs. } 4000$
- ▶ $1000+500+1000 = \text{Rs. } 2500$
- ▶ $1000+1500+1000 = \text{Rs. } 3500$

Question No: 25 (Marks: 1) - Please choose one

Which of the following is NOT an item of public consumption?

- ▶ Expenditure on health.
- ▶ Expenditure on education.
- ▶ Expenditure on general administration.
- ▶ Expenditure for transfer payments.

Question No: 26 (Marks: 1) - Please choose one

Changes in aggregate demand can be caused by changes in:

- I. Wages.
 - II. Raw materials costs.
 - III. Government spending.
 - IV. Government regulations that increase the cost of doing business.
- ▶ I, II, III, and IV.
 - ▶ I and III only.
 - ▶ I, III, and IV.
 - ▶ III only.

Question No: 27 (Marks: 1) - Please choose one

Which of the following is equal to the number of people unemployed?

- ▶ The number of people employed minus the labor force.
- ▶ The labor force plus the number of people employed.
- ▶ The number of people employed divided by the labor force.
- ▶ The labor force minus the number of people employed.

Question No: 28 (Marks: 1) - Please choose one

Rising inflation means:

- ▶ That the price level is increasing by a given percentage rate.
- ▶ That the prices of all goods and services increase from year to year.
- ▶ That the price level is rising at an increasing rate.
- ▶ That the price level is rising at a variable rate.

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Question No: 29 (Marks: 1) - Please choose one

If
net exports are positive, this implies that the country has:

- ▶ **Trade surplus.**
- ▶ Trade deficit.
- ▶ Government budget surplus.
- ▶ Government budget deficit.

Question No: 30 (Marks: 1) - Please choose one

The
rapid population growth in today's developing nations is due to the:

- ▶ **High birth rates only.**
- ▶ Low death rates only.
- ▶ High birth rate and low death rate.
- ▶ Higher standard of living.

Question No: 31 (Marks: 1) - Please choose one

A
tax on the accounting profits of corporations is known as:

- ▶ Sales tax.
- ▶ Excise tax.
- ▶ **Corporate income tax.**
- ▶ Personal income tax.

Question No: 32 (Marks: 1) - Please choose one

Suppose you keep Rs. 35 in your pocket to purchase a movie CD when it will come out next month in the market. What is the function of money in this context?

- ▶ Medium of exchange.
- ▶ Unit of account.
- ▶ Standard of deferred payment.
- ▶ **Store of value.**

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Question No: 33 (Marks: 1) - Please choose one

What will be the impact of an increase in the money supply?

- ▶ It will shift the IS curve to the left and decrease both the interest rate and the level of income.
- ▶ It will shift the LM curve downward (to the right) and increase both the interest rate and the level of income.
- ▶ It will shift the IS curve to the right and increase the level of income but decrease the interest rate.
- ▶ **It will shift the LM curve downward (to the right) and increase the level of income but decrease the interest rate.**

Question No: 34 (Marks: 1) - Please choose one

curve shows the equilibrium in:

- ▶ Money Market.
- ▶ **Goods Market.**
- ▶ Labor Market.
- ▶ Financial Market.

Question No: 35 (Marks: 1) - Please choose one

International finance is the study of economics that deals with:

- ▶ **The balance of trade.**
- ▶ The macroeconomic consequences of financial flows associated with international trade.
- ▶ International investment opportunities for American multinational corporations.
- ▶ The relationships among world currency dealers.

Question No: 36 (Marks: 1) - Please choose one

In

which of the following conditions, a current account deficit exists?

- ▶ When net exports are positive.
- ▶ **When financial flows out of a country for goods and services are less than financial flows into the country for its goods and services.**
- ▶ When a country has a trade deficit.
- ▶ When an economy buys less from foreigners than it sells to them.

Question No: 37 (Marks: 1) - Please choose one

Economists define economic growth as:

- ▶ Changes in real GDP from year to year that occur as aggregate demand and short-run aggregate supply change.
- ▶ An increase in the standard of living of a nation.
- ▶ An increase in nominal GDP combined with price stability.
- ▶ **The process through which the economy's potential output is increased.**

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Question No: 38 (Marks: 1) - Please choose one

What will be the impact if agriculture sector is neglected in the development process?

- ▶ It can lead to insufficient savings.
- ▶ It can lead to shortage of foreign exchange.
- ▶ It can lead to lower levels of production.
- ▶ **All of the given conditions can happen.**

Question No: 39 (Marks: 1) - Please choose one

In

which of the following situations, a monopoly occurs?

- ▶ When each firm produces a product that is slightly different from the other firms.
- ▶ When one firm sells a good that has no close substitutes and a barrier blocks entry for other firms.
- ▶ When there are many firms producing the same product.
- ▶ In all of the given situations.

Question No: 40 (Marks: 1) - Please choose one

Which of the following is not the property of production function?

- ▶ Generates a curve that is upward sloping.
- ▶ Shows diminishing marginal product of an input, since it gets flatter as output rises.
- ▶ Marginal product at all levels is increasing.
- ▶ Relates inputs with output.

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Question No: 41 (Marks: 1) - Please choose one

As long as all prices remain constant, a decrease in money income results in:

- ▶ An increase in the slope of the budget line
- ▶ A decrease in the slope of the budget line
- ▶ An increase in the intercept of the budget line
- ▶ A decrease in the intercept of the budget line

Question No: 42 (Marks: 1) - Please choose one

What will happen to the isocost line if the price of both goods decreases proportionality?

- ▶ It shifts farther away from the origin of the graph.
- ▶ It shift inward.
- ▶ It shifts outward.
- ▶ None of the given options.

Question No: 43 (Marks: 1) - Please choose one

Monopoly profits can be invested in

- ▶ Advertisement.
- ▶ Research and development.
- ▶ Human resource development.
- ▶ Expansion of the market.

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Question No: 44 (Marks: 1) - Please choose one

The

characteristics of a monopolistically competitive market are almost the same as in

- ▶ Monopoly.
- ▶ Oligopoly.
- ▶ **Perfect competition.**
- ▶ Duopoly.

Question No: 45 (Marks: 1) - Please choose one

The multiplier is a related concept which formalizes the output response to:

- ▶ Saving.
- ▶ **Investment.**
- ▶ Taxes.
- ▶ Inflation.

Question No: 46 (Marks: 1) - Please choose one

Factor income from abroad like worker remittances, dividends and interest has positive impact on:

- ▶ **Current account balance.**
- ▶ Capital account balance.
- ▶ Trade balance.
- ▶ Unemployment.

Question No: 47 (Marks: 1) - Please choose one

Continuous technology progress is a necessary condition for the high rate of:

- ▶ Inflation reduction.
- ▶ **Economic growth.**
- ▶ Population growth.
- ▶ Employment.

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Question No: 48 (Marks: 1) - Please choose one

Expansionary fiscal policy includes:

- ▶ Increasing taxes and increasing government purchases.
- ▶ Raising interest rates, increasing taxes, and decreasing transfer payments.
- ▶ **Decreasing taxes and increasing government expenditures.**
- ▶ Raising interest rates, decreasing taxes, and decreasing government spending.

Question No: 49 (Marks: 3)

Differentiate between real exchange rate and nominal exchange rate.

Question No: 50 (Marks: 3)

Discuss the basic functions of money.

Question No: 51 (Marks: 5)

What will be the impact of following factors on Marginal Propensity to Consume?

- ☞ A fall in the rate of income tax.
- ☞ People anticipate that the rate of inflation is about to rise.
- ☞ The government redistributes income from the rich to the poor.
- ☞ The government gives the subsidies.
- ☞ If the assets of the people increase.

(Marks: 1 for each)

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Question No: 52 (Marks: 5)

Explain the difference between current account and capital account.

Question No: 53 (Marks: 5)

Assume that the reserve requirement ratio (rr) of United Bank Limited (UBL) is 15% and bank's initial deposit is \$2500.

- a. By using this information, make initial balance sheet of MCB.
- b. Calculate money multiplier.

(Marks: 3+2)

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